



DEFENSE LOGISTICS AGENCY
WEAPONS SUPPORT
P.O. BOX 3990
COLUMBUS, OHIO 43218-3990

MEMORANDUM FOR FILE

SUBJECT: Consolidation Determination-DLA Weapons Support for SPE7LX-26-R-0026

Background:

This DLA Weapons Support acquisition is for an indefinite quantity contract for forty-seven (47) NSNs, managed by the Defense Logistics Agency (DLA), see table below. DLA Weapons Support intends to enter into a firm-fixed price, long-term contract (LTC) with a maximum contract period of five years, consisting of a one-year base period and four (4) one-year option periods. The contract has an estimated annual value of [REDACTED] estimated five-year total of [REDACTED] and a total contract maximum of [REDACTED]. The solicitation will be Unrestricted With Other Than Full and Open Competition. These NSNs are code and part numbered items.

This acquisition is being pursued to provide continued supply availability to preclude backorders, maintain reduced administrative and production lead-times (ALT and PLT), decrease potential contract administration actions, and retain reduced and stable unit pricing.

CLIN	NSN	ITEM	UI	AMC	AMSC	ADQ	ADV
0001	2030008902931	ROLLER,ELEVATOR	EA	3	D	176	[REDACTED]
0002	5360010123522	SPRING,HELICAL,COMP	EA	3	R	130	[REDACTED]
0003	5330011189508	GASKET	EA	3	D	3	[REDACTED]
0004	5330011379434	SEAL	EA	3	R	4	[REDACTED]
0005	5930012131823	SWITCH,PRESSURE	EA	3	D	26	[REDACTED]
0006	5331012644173	O-RING	EA	3	D	6	[REDACTED]
0007	5330012721386	GASKET	EA	3	D	48	[REDACTED]
0008	5930012838081	SWITCH,LIQUID LEVEL	EA	3	D	2	[REDACTED]
0009	4320013191912	RING,WEARING	EA	3	D	46	[REDACTED]
0010	5930013650382	SWITCH,PUSH	EA	3	D	3	[REDACTED]
0011	5360014238518	SPRING,HELICAL,TORS	EA	3	R	11	[REDACTED]
0012	3020014348047	SPROCKET WHEEL	EA	3	D	2	[REDACTED]
0013	3020014384598	GEAR,SPUR	EA	3	D	25	[REDACTED]
0014	5340014679189	TURNBUCKLE	EA	3	D	14	[REDACTED]
0015	4810014680827	VALVE,SOLENOID	EA	3	D	5	[REDACTED]
0016	3040014680838	ACTUATOR,MECHANICAL	EA	3	D	14	[REDACTED]
0017	3040014680848	ACTUATOR,MECHANICAL	EA	3	D	12	[REDACTED]
0018	3040014680856	CYLINDER ASSEMBLY,A	EA	3	D	5	[REDACTED]
0019	5330014681307	PARTS KIT,SEAL REPL	KT	3	D	19	[REDACTED]
0020	5330014681468	SEAL,PLAIN	EA	3	R	79	[REDACTED]
0021	5330014681673	SEAL,PLAIN	EA	3	D	429	[REDACTED]
0022	5930014685678	SWITCH,PROXIMITY	EA	3	Z	21	[REDACTED]
0023	5930014685684	SWITCH,PROXIMITY	EA	3	Z	49	[REDACTED]
0024	2040014731195	ROLLER ASSEMBLY	EA	3	D	22	[REDACTED]
0025	4810014743301	VALVE,LINEAR,DIRECT	EA	3	D	4	[REDACTED]
0026	5330014788482	SEAL KIT,PNL2-5	KT	3	D	55	[REDACTED]
0027	5330014788483	SEAL WATER	EA	3	D	40	[REDACTED]

0028	5945015082334	RELAY,SOLID STATE	EA	3	C	11	
0029	4730015182549	COUPLING,BOSS	EA	3	D	10	
0030	2040015193602	TOGGLE ARM,DOG ASSE	EA	3	D	20	
0031	3010015246213	COUPLING,SHAFT,RIGI	EA	3	R	5	
0032	3010015254351	COUPLING,SHAFT,FLEX	EA	3	D	6	
0033	3010015254372	COUPLING,SHAFT,RIGI	EA	3	R	2	
0034	5930015472252	SWITCH,PROXIMITY	EA	3	D	18	
0035	4820015618143	VALVE,REGULATING,FL	EA	3	D	6	
0036	4330015711018	FILTER ELEMENT,FLUI	EA	3	D	23	
0037	2040015826047	SEALING PLATE HIMGE	EA	3	R	120	
0038	3010016039039	COUPLING,SHAFT,RIGI	EA	3	Q	2	
0039	3040016249180	PARTS KIT,LINEAR AC	KT	3	Q	11	
0040	3040016265447	CYLINDER ASSEMBLY,A	EA	3	Q	26	
0041	5930016440753	SWITCH,PROXIMITY	EA	3	Z	53	
0042	5330016445900	SEAL RING,METAL	EA	3	D	9	
0043	5330016446132	PANEL 6 WATER SEAL	EA	3	P	116	
0044	5930016446257	SWITCH,PROXIMITY	EA	3	C	47	
0045	3040016670274	ACTUATOR,MECHANICAL	EA	3	Q	6	
0046	2040016909492	PARTS KIT,CARGO HAT	KT	3	D	8	
0047	2040016909499	PARTS KIT,CARGO HAT	KT	3	D	6	

The resulting contract will provide spare parts for military customers both in the Continental United States (CONUS) and outside the continental United States (OCONUS). It was determined to be in the best interest of the warfighter and the Agency to initiate the development of a LTC that supports various naval vessels, specifically, spare parts for cargo elevators. All forty seven NSNs will be solicited under the First Destination Transportation (FDT) program; therefore, Procurement Notes C16 (52.247-9059 F.O.B. Origin, Government Arranged Transportation) and C17 (52.247-9058, First Destination Transportation (FDT) Program – Shipments Originating Outside the contiguous United States (OCONUS)) are applicable. The acquisition is a routine acquisition of supplies, and the end-items will be delivered to DLA stock at the depots. The scope of this solicitation is limited to the products listed in Section B of the solicitation.

The current acquisition will be awarded all or none by National Stock Number (NSN), with each line being awarded to the best value offeror for that line (All or None by NSN). A separate contract will be awarded to each successful offeror. This provides the same opportunity for contractors to compete for award of the individual NSNs as with multiple individual solicitations, but with a reduced administrative burden.

All NSNs are manufactured in accordance with code and part number and have one or limited sources. All NSNs have an Acquisition Method Code (AMC) of 3, which means they are to be procured directly from the manufacturer(s). This does not preclude offers from dealers

None of the NSNs are currently on a Long term Contract. The proposed acquisition constitutes a consolidation of contract requirements as defined in FAR 2.101 and 7.107-2 because the proposed procurement will result in a single contract for items that DLA Weapons Support previously procured under separate acquisitions, each of which was lower in cost than the total cost of the contract for which offers are solicited. Accordingly, the proposed acquisition constitutes a consolidation of contract requirements and requires a written determination.

Market Research

Initial market research was conducted by the Buyer in December 2025. They sent a market questionnaire to the past manufacturing sources as well as dealers that provided these parts. A sources sought notice was issued for six business days with no responses. The market questionnaire asked companies to provide information such as willingness to quote a one-year base period and priced option years, provide stock delivery, state if the items are quantity sensitive, state if the items are commercial, preference for zones, asked if they could provide packaging requirements, asked information regarding FOB and zones. No responses were received.

Information regarding the commerciality of the items: In accordance with E.O. 14271, Ensuring Commercial, Cost Effective Solutions in Government Contracting, these items are determined to be commercial products. They are replacement parts for cargo elevators which are used by privately owned cargo ships and commercial cruise line ships.

Impact on Small Business:

As required by FAR 7.107-2(a)(3), the consolidation was coordinated with the DLA Weapons Support Small Business Office and Small Business Administration. It is reasonable to conclude that the consolidation of these requirements will not negatively impact small business participation. Although all the items will be limited to responsible and capable manufacturers, award is not limited to the manufacturer and dealers can also receive the award. The solicitation will be awarded on an all-or-none by NSN basis, so that each item can be awarded to a different vendor, thereby precluding quantities or dollar values that make it difficult for a small business to compete for a contract. In effort to ensure that offers are solicited from as many sources as practicable, the acquisition will be synopsisized on SAM.gov and posted on the DLA Internet Bid Board System (DIBBS).

Benefits of Consolidation:

The details of the proposed approach are discussed in the acquisition plan. The proposed acquisition approach results in the following benefits:

1. **Acquisition Cycle:** The purchase request process typically includes assembling a technical data package (if applicable), developing an acquisition strategy, soliciting proposals from industry, negotiating (if applicable), reviewing, and finally awarding the contract or purchase order. This administrative processing is called administrative lead time (ALT). As of [REDACTED] for DLA Weapons Support Supply Chains, the average ALT for delivery orders on LTC is [REDACTED] for small buys is [REDACTED] for large buys is [REDACTED] and for PACE awards is [REDACTED]. Using this data for comparison, there is a minimum savings of [REDACTED] when comparing the proposed LTC approach to small buys, [REDACTED] when compared to large buys, and [REDACTED] when compared to PACE awards. ALT will be reduced because items will not be individually solicited, competed, evaluated, and awarded each time a requirement arises. Reduced ALT is important to ultimately reduce the time for awards in an effort to get the parts delivered quicker to the Military customer. Requirements will source automatically to the proposed LTC using DLA's automated procurement system, which will generate delivery orders against the contract.
2. **Relationship Management:** Orders from a LTC will provide a continuous relationship between the contractors and the contracting activity. After award issuance, the contract(s) will be assigned to a Basic Contract Administrator (BCA). The BCA and an Administrative Contracting Officer (responsible for post award actions on delivery orders) will be responsible for ensuring Purchase Requests are sourced properly to this contract and tracking delivery. The BCA will also be

responsible for exercising any options until contract expiration. Having a primary contact within the administration area will ensure that potential quality/delivery issues will be resolved more efficiently and quickly than individual spot buys. Also, contractors are more likely to be proactive in seeking avenues to resolve quality/delivery discrepancies since the items are on contract for an extended period.

3. **Cost:** The vendor(s) will reduce duplicate efforts and thereby lower administrative costs associated with quoting on multiple solicitations over the same period. Additionally, the vendor(s) may be able to reduce material costs for items on a LTC by using long-term production planning, which allows buying raw material or finished materials in bulk, resulting in quantity discounts. These efficiencies can result in reduction of Government costs. There are also internal Government benefits from using an LTC, such as decreased inventory capital investment requirements as a result of lowered ALT, since quicker and more reliable vendor delivery means that less stock is required to be kept on-hand. Also, the Government's administrative and operational costs to initiate and manage multiple solicitations, evaluations, award decisions, and contracts is significantly reduced, ordering is automated, and the automated ordering process time is almost instantaneous.

A full BCA was determined to be unnecessary for this initiative since it falls under DLA 5010.06 Exemption #2: The acquisition is for supplies and the end-item will be delivered to DLA stock at the depots. (VSRM) estimates a total of [REDACTED] potential cost avoidance over five years using the proposed contract for LTC for Stock versus Spot Buys for Stock; see attachment #1- BCA Simulator. The estimated savings are primarily resulting from cost reductions in the following cost drivers: depot throughput, transportation, asset management, and storage. Since the proposed vendor materiel prices are unknown at this time, this savings assumes the vendor's materiel prices will be the same as the average DLA acquisition prices for each NSN. The actual savings will depend on the final negotiated materiel prices.

The advantages of this project include cost avoidance for the Government, workload reduction, opportunity for continued participation in a supplier partnership, little disruption of the current flow of items to the customer, and minimal level of maintenance. These benefits are interrelated and largely result from elimination of the numerous separate contract actions (with associated lead-time and contracting resource requirements) now required to support DLA Weapons Support based weapon systems on a worldwide basis.

The quantifiable benefits identified above do not meet the threshold for a substantial benefit at FAR 7.107- 2(d)(1)(ii) of this subsection; however, enumerated benefits are critical to DLA Weapon Support's mission success. DLA Weapons Support uses LTC methods to offer the best value to our customers. By consolidating these requirements, DLA will be able to ensure consistent supplies while achieving economies of scale and reducing ALT and PLT. The benefits of this consolidation are critical to the Agency's mission success. DLA is the military's premier logistics provider, and it is imperative that DLA structures its contract actions to maximize benefits while minimizing costs. The consolidation does this by reducing administrative costs which, in turn, helps to keep DLA's cost recovery rate low. Critical benefits include increased material availability, reduction in lead time, and increased warfighter equipment operational readiness.

Alternate Contracting Approaches:

The Contracting Officer has identified the less consolidated alternatives in developing the acquisition strategy for this project. The least beneficial approach would be to procure the items via individual purchase orders (spot buys). The use of spot buys to satisfy requirements for some or all of these items does have benefits. Specifically, there is low risk of transitional disruption associated with

moving to a different procurement alternative, and the relatively low dollar value of spot buys may increase small business participation. However, these benefits are outweighed by the costs of spot buys and the benefits of long-term contracting. Spot buys, whether small or large, are more expensive than delivery orders. Additionally, there are efficiencies and other benefits with long-term contracting. A long-term contracting instrument has the potential to improve in all areas. Better prices will probably be obtained with a long-term instrument rather than increases that would likely occur with an individual spot buy.

Another less consolidated contracting strategy would be to procure these items using Automated Indefinite Delivery Contracts (IDCs). However, all of these NSNs require First Article Testing and are ineligible for Auto IDCs. Therefore, these NSNs should not be placed on Auto IDCs. The remaining NSNs could be placed on Auto IDCs, but this approach would not achieve the efficiencies and other benefits of the proposed approach.

A third approach that is only slightly less consolidated than that proposed is to separately solicit for and award individual LTCs for each NSN. While this approach seeks to leverage the contract administration advantages of long-term delivery order contracts, it provides very little practical difference from the first alternative above. This approach would require greater resources both to award and administer (even if the contracts were awarded to the same vendor) and would take substantially longer to award than the proposed approach. Therefore, this alternative contracting strategy is substantially less beneficial than the proposed approach because it significantly decreases efficiencies during the pre-award cycle and provides no better benefits associated with competition than the proposed approach, as both approaches allow for the individual evaluation and award of each NSN.

Determination:

In view of the foregoing, I hereby determine:

1. This proposed acquisition constitutes a consolidation of contract requirements.
2. The contract requirements being consolidated exceed \$2 million.
3. There are benefits of consolidating the contract requirements, which include both quantifiable and non-quantifiable benefits.
4. The expected benefits do not meet the thresholds for a substantial benefit at FAR 7.107-2(d)(1) but are critical to the Agency's mission success.
5. The procurement strategy provides for maximum practicable participation by small business.
6. The consolidation of contract requirements is necessary and justified.

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Attachments:



1. BCA Simulator

